

4. Slouching

The wealthy also suffer from the Dutch disease. Inheriting wealth that you didn't earn by your own hands makes you lazy. Why bother creating new sources of income? Timor-Leste and Norway created SWFs so that their economies nurture other income streams; wealthy families need to create structures to ensure their children do as well.

5. Spending too much

Of course, if you spend more than you bring in, your assets decline. Payout rules based on the size of the assets, like those used by Timor-Leste and endowments, mitigate this by automatically reducing payouts when investment performance is bad. This hurts when people get used to a certain level of spending (economists capture this effect with *habit utility*). Chapter 5 discusses how to set payout rules when you want consumption not to fall.

5.2. THE REST OF US

The net worth of the household sector in the United States was \$66.1 trillion at December 2012. This wealth is highly skewed: the richest 1% own 35%, the richest 5% own 62%, and the richest 10% own 75%.⁷¹ The richest 1% includes the ultra-rich whom we discussed before, but also include many who would call themselves (upper) middle class. This skewness has become more pronounced over time; the poor are getting (relatively) poorer and the rich are getting (relatively) richer.⁷² The top 1% took home 9% of total income in 1976, and 20% in 2011. We are back to the same levels of inequality the United States experienced during and before the 1930s.⁷³

The middle class has the same main concern as the other asset owners discussed up to now: to save more today so that tomorrow we can eat (retirement) or that our children can eat (bequests), even though we also need to worry about eating today. We must be especially mindful of the fees paid to intermediaries because the fees represent foregone consumption: since we are not rolling in dough, consumption matters more for us than the rich. (Technically, since we are poorer we have higher *marginal utilities* of consumption, see chapter 2.)

There are several additional considerations the rich don't have to worry about (or that the rich worry about less):

1. Labor income

The biggest asset is not financial; it is human capital. We should invest according to our total wealth, which is the sum of financial and human capital wealth. Timor-Leste recognizes this as it explicitly counts its oil wealth still in the Timor Sea in its EIS. As we age, our balance sheets resemble those

⁷¹ Numbers from Wolff (2010).

⁷² See Cagetti and De Nardi (2008) and Kopczuk, Saez, and Song (2010).

⁷³ Numbers from Alvaredo et al. (2013).